

MARKET ANALYSIS

A \$15M Sale in Wausau Shows Multifamily Liquidity Is Narrow but Real

A 2020-vintage, 75-unit property trades at a basis that works for both a local buyer and a seller needing exit certainty.

July 21, 2026 · RE Business Online · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The Apartments at Riverlife overlook the Wisconsin River in Wausau, Wisconsin. That is not a marketing detail. It is a capital markets fact: a 75-unit building built in 2020, with a river view, in a central Wisconsin city of roughly 40,000 people, just traded for \$15 million. The transaction closed. That alone is worth examining.

Marcus & Millichap represented the seller, Riverlife Wausau LLC, and procured a Wisconsin-based investor as buyer. Dan Bowar handled the assignment. The property offers one-, two-, and three-bedroom units across 72,177 rentable square feet. Built five years ago, it is essentially new construction in a market where most multifamily inventory dates to the 1970s and 1980s.

The headline number is \$15 million. The more revealing number is \$200,000 per unit. That is the basis the buyer accepted and the seller agreed to. In a market where transaction volume remains compressed and capital is highly selective, a \$200,000-per-unit trade in Wausau tells a specific story about where liquidity exists and where it does not.

Start with the seller. Riverlife Wausau LLC sold a five-year-old asset in a thin market. That is not a distress signal. It is a liquidity decision. The sponsor likely recognized that the window for exiting a stabilized, non-core asset in a tertiary market is narrow and may not widen soon. Rates remain elevated relative to 2020-2021. Cap rates have adjusted upward. The bid-ask spread that paralyzed transaction volume for two years has narrowed only for assets with clear cash flow and a defensible basis. This building, with its 2020 construction date and modern unit mix, fits that description.

The buyer is a Wisconsin-based investor. That matters. Local capital is stepping in where institutional capital remains cautious or priced out. A local buyer can underwrite the market with more precision than a national platform. They know the tenant base, the employment drivers, the school district, and the winter maintenance costs. They can accept a lower yield than an out-of-state fund because their cost of capital is lower and their operating assumptions are grounded in experience, not a spreadsheet model built in Chicago or New York.

The \$200,000-per-unit basis is the key mechanism. For context, replacement cost for a 2020-vintage, 75-unit building in central Wisconsin likely falls in the \$180,000 to \$220,000 per unit range,

depending on land, entitlements, and construction costs. The buyer is paying roughly replacement cost for a building that is already leased, stabilized, and generating cash flow. That is not a distressed price. It is a fair price in a market where building new is expensive and risky. The seller is not giving the asset away. They are selling at a basis that reflects current replacement cost, not the peak of 2021 pricing.

What does this reveal about capital availability? Multifamily debt for stabilized, newer construction in secondary and tertiary markets is available, but only through local and regional banks, credit unions, and small-balance agency lenders. The large national banks are still largely on the sidelines for this kind of transaction. The buyer likely secured financing with a local lender who knows the market and the sponsor. The loan-to-value ratio is probably conservative, likely in the 60-65 percent range, given the current rate environment and the lender's risk appetite. The debt yield is the underwriting metric that matters now, not the cap rate.

The transaction also reveals something about timing. The seller chose to exit in July 2026, not 2025, not 2027. That suggests the sponsor saw a bid that met their threshold and decided to take liquidity rather than wait for a potentially better offer that may never come. In a market where interest rate cuts are uncertain and the 2027-2028 maturity wall looms for many assets, taking a clean exit now is a rational decision. The buyer, meanwhile, is acquiring a modern asset at a basis that pencils with current rents and current debt costs. They are not betting on rent growth. They are betting on stability.

Whose constraint changed? The seller's. They had an asset that was performing but not irreplaceable. They chose to monetize it. The buyer's constraint is the opposite: they had capital that needed to be deployed, and they found an asset that met their underwriting criteria. The lender's constraint is the most revealing: a local institution was willing to lend on a 75-unit building in Wausau at a time when many national lenders are shrinking their CRE exposure. That lender is betting on the sponsor, the asset quality, and the market's resilience.

What should the market test next? Watch for more trades of 2020-2022 vintage multifamily in

secondary and tertiary markets. If sellers continue to accept pricing near replacement cost, and if local buyers continue to step in, the transaction market may slowly thaw from the bottom up. The action is not in gateway cities with trophy assets. It is in places like Wausau, where a river view and a five-year-old building can still command a bid.

The deal is not proof that multifamily liquidity has returned broadly. It is proof that liquidity exists where the basis is clear, the asset is modern, and the capital is local. That is a narrower market than many hope for, but it is a real one.

SOURCES

— RE Business Online —

<https://rebusinessonline.com/marcus-millichap-brokers-15m-sale-of-multifamily-property-in-wausau-wisconsin/>

LIGHT TOWER GROUP